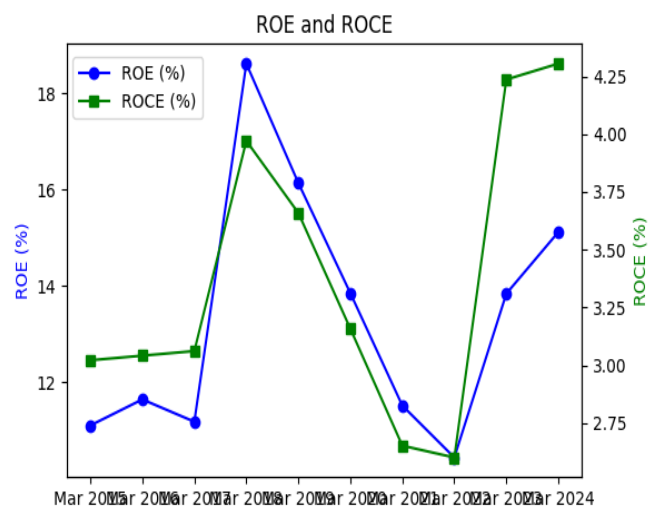
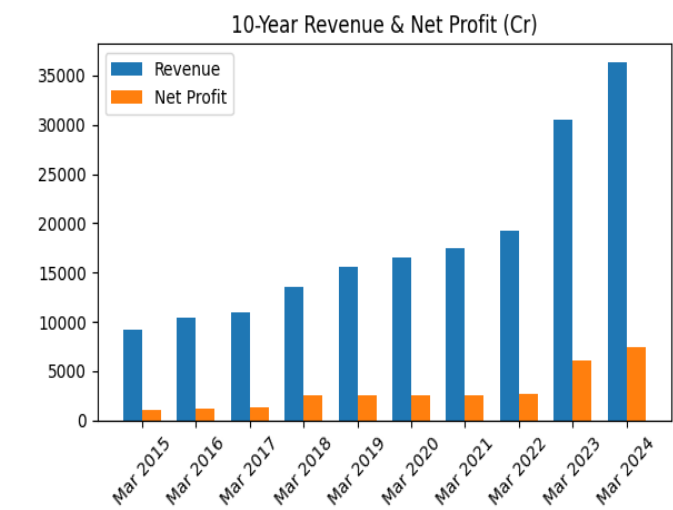
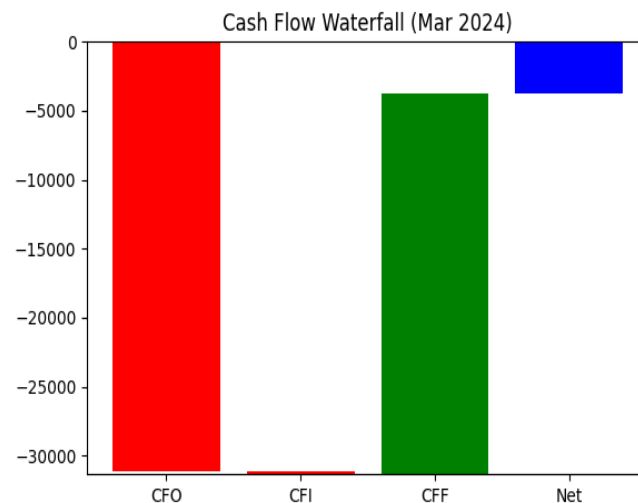
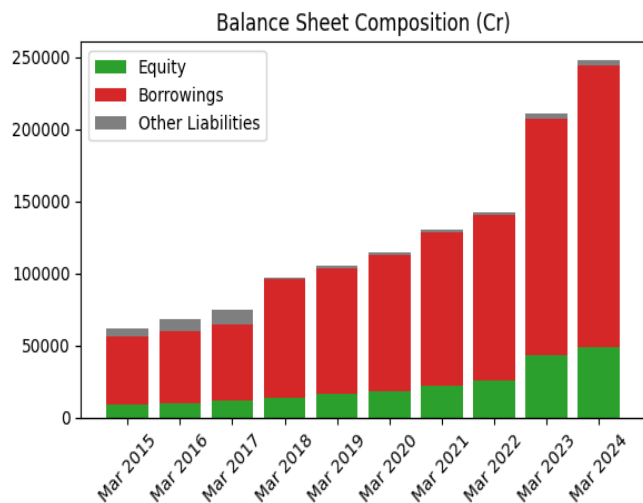


Shriram Finance Ltd (SHRIRAMFIN)

Revenue ■39,864 Cr	Net Profit ■9,454 Cr	ROE 15.1%
ROCE 4.3%	CFO Quality Accrual Risk	Allocation Growth Funded by Debt





Pros

- Revenue growing slower than profits shows improving operating leverage and scale benefits
- Revenue growing at above 15% CAGR over 5 years reflects strong business momentum
- Net profit compounding at above 20% over 5 years creates significant shareholder value
- Operating profit margin above 25% indicates strong pricing power and cost discipline

Cons

- Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility
- Free cash flow negative for 3 consecutive years raises concern about cash generation quality
- Interest coverage ratio below 1.5x indicates the company is at risk of not meeting its debt obligations
- Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital

Capital Allocation Pattern: Growth Funded by Debt